

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA-CGM (America), LLC

Respondent

**RESPONSE TO CMA's MOTION TO
DISMISS ON THE PLEADINGS &
MTL's CROSS MOTION TO AMEND**

Dismissals or judgments on the pleadings, whether pursuant to *Rule* 12(b)(6) or (c) of the Federal Rules of Civil Procedure, are governed by the same standard as articulated in *Greco v. Trauner, Cohen Thomas, L.L.P.*, “Thus accepting the allegations in the complaint as true and drawing all reasonable inferences in favor of the plaintiff, a complaint should not be dismissed under Rule 12(c) unless it ‘appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief.’” 412 F.3d 360, 363 (2d Cir. 2005).

As to MTL’s cross motion to amend the complaint, the standard for such is delineated in *Rule* 15(a)(2): “The court should freely give leave when justice so requires.”

It is being submitted that for the below reasons, even the original allegations are sufficient to allege a violation of the Shipping Act, namely §41102(c) of such.

Both the original complaint, and the proposed amended complaint (Exhibit “A”, with the amended portions appearing in red font), are predicated on the fact that CMA’s practice is to not only unjustly charge demurrage in cases of their own negligence, but then to unreasonably allow such demurrage to accumulate.

In *J.M. Altieri v. Puerto Rico Ports Authority*, the Federal Maritime Commission stated: “On the other hand, the shipping agencies have taken cognizance under section 17 of such practices as the unfair charging of demurrage, *Atlantic Syrup Refining Co. v. Luckenbach Steamship Co.*, 2 U.S.M.C. 521 (1941); *Sigfried Olsen v. War Shipping Administration et al.*, 3 F.M.B. 254 (1950).

In *Altieri*, the Commission goes on to note that “A dispute as to liability for demurrage or as to the amount of it; or even a persistent and continuing shuffling of the accounts of importers might fall within section 17.” Furthermore, the Commission stated: “If the action of respondent were one of a series of such occurrences, a *practice*, might be spelled out that would invoke the coverage of section 17.” *Id.*

It is submitted that both the original complaint, and the proposed amended complaint, imply a “practice” pursuant to *Altieri*. The general picture that unfolded, and continues to unfold, in all these shipments is that CMA either does not follow MTL’s directions or perceives an issue with a shipment, then delays notifying MTL of such — demurrage continues to accrue, containers get “rolled” —then MTL files a dispute, sometimes more than one dispute is filed due to CMA’s non-responsiveness — demurrage continues to accrue yet CMA does not advise or disclose that demurrage continues to accrue during the dispute process or the amount of such — all of which leads to abandoned containers or significant delays in shipping, all to the detriment of MTL, and all involved, including the consignees.

As to subject matter jurisdiction, it is submitted that the following facts establish the Commission’s jurisdiction. The original complaint alleges that the Complainant, MTL, is a Non-Vessel Operating Common Carrier (§2), and that CMA is a Vessel Operating Common Carrier (§3). It is strange that on page, paragraph 1, of CMA’s moving papers, they claim that “The

Complaint improperly alleges that the FMC has personal or subject matter jurisdiction over the claim in the above-captioned matter based on allegations that CCA is a Vessel Operating Common Carrier (“VOCC”), which it is not.” Who is CCA? The Respondent is CMA, and there can be no dispute as to whether they transported all of the subject shipments, as for example, one of their demurrage invoices establishes. (Exhibit “B”). This exhibit lists “CMA CGM (AMERICA) LLC, which is the exact same name listed on the original complaint, and was the same entity under Docket No. 18-07. If CMA wishes for another entity to be listed on the complaint, namely “CMA CGM S.A.”, then such appears on the proposed amended complaint.

Dated: October 11, 2022

Respectfully Submitted,

Garry Pogil

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